



U.S. Customs and Border Protection

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Via Email

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Re: Notice of Determination as to Evasion - EAPA Case 7899

To the Representatives and Counsel of the above-referenced Entities:

Pursuant to an examination of the record in Enforce and Protect Act (EAPA) Case 7899, U.S. Customs and Border Protection (CBP) has determined there is substantial evidence that Highland USA International, Inc. (Highland) entered merchandise covered by antidumping duty (AD) order A-570-836¹ and countervailing duty (CVD) order C-570-081² (collectively the *Orders*) on glycine from the People's Republic of China (China) into the customs territory of the United States through evasion.

Substantial evidence demonstrates that Highland evaded the *Orders* by transshipping Chinese-origin glycine, covered merchandise, through Malaysia and declaring the entries as Malaysian-origin, resulting in no cash deposits being collected on the merchandise. The basis for CBP's determination is explained in detail below.

¹ See *Glycine from the People's Republic of China: Antidumping Duty Order*, 60 Fed. Reg. 16116, dated March 29, 1995.

² See *Glycine from India and the People's Republic of China: Countervailing Duty Orders*, 84 Fed. Reg. 29173, dated June 21, 2019.

I. Background & Procedural History (Pre-Interim Measures)

Allegation, Formal Receipt, and Initiation

On December 1, 2023, GEO Specialty Chemicals, Inc. (Geo Specialty) filed an EAPA allegation³ through counsel claiming that Highland is evading the *Orders* on glycine from China. On January 22, 2024, Geo Specialty submitted an “assignment and assumption agreement,” dated January 1, 2024, indicating Geo Specialty had transferred its entire glycine business, including production and responsibility for the allegation against Highland, to Deer Park Glycine, LLC (DPG or Alleger).⁴ The Trade Remedy Law Enforcement Directorate (TRLED) acknowledged receipt of the properly filed EAPA Allegation pertaining to Highland on May 2, 2024.⁵ Because information provided in the Allegation ... reasonably suggested that the covered merchandise was entered for consumption into the customs territory of the United States through evasion, CBP initiated an investigation pursuant to Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015, commonly referred to as EAPA on May 23, 2024.⁶ The Allegation reasonably suggested that Highland evaded the *Orders* by importing glycine from China into the United States that was transshipped through Malaysia and falsely declared glycine country of origin of Malaysia instead of China.⁷

According to the Allegation, in 2023, Highland imported glycine from China into the United States through Habita Food Industries Sdn. Bhd. (Habita Food) in Malaysia and misrepresented the imported glycine as Malaysian origin to avoid paying AD/CVD cash deposits.⁸ The following evidence were provided to support the alleger’s claim that: 1) Habita Food does not have any facility to produce glycine in Malaysia, 2) there is no other glycine manufacturer in Malaysia, and 3) Malaysia predominantly imports glycine from China, thereby increasing the likelihood that that the glycine shipments from Habita Food to Highland is Chinese in origin.

The investigative report commissioned by the Alleger indicated that the [

name and location

]⁹ is a [source observation

]¹⁰

The report also found that [source observation

]¹¹ The investigators then visited [name

³ See submission from GEO Specialty dated December 1, 2023 (Allegation). GEO Specialty is a U.S. producer of domestic like product in the United States and, thus, qualifies as an interested party that is permitted to submit an EAPA allegation pursuant to 19 C.F.R. § 165.1(2).

⁴ See DPG Succession Letter, dated January 22, 2024.

⁵ See email entitled, “EAPA 7899 - Receipt of Allegation,” dated May 2, 2024.

⁶ See CBP’s Memorandum titled, “Initiation of Investigation for EAPA Case Number 7899,” dated May 23, 2024 (Initiation Memo).

⁷ See 19 C.F.R. § 165.2.

⁸ See Allegation at 9.

⁹ *Id.* at Exhibit 4.

¹⁰ *Id.* at 10.

¹¹ *Id.*

], a company the Allegor suspects is affiliated with Habita Food due to a shared telephone number.¹²

After these site visits, the investigators concluded that [source observation]¹³ The investigators [source observation]¹⁴

This aligns with information obtained from an online publication called Chemical Register, which lists worldwide glycine suppliers and indicates that there is no glycine production in Malaysia.¹⁵ The list contains various suppliers from, *inter alia*, China, the United States, Hong Kong, Canada, India, United Kingdom, Germany and Taiwan, but the list does not identify any Malaysian glycine suppliers; therefore, Habita Food, which does not have any production facility in Malaysia, must have sourced the glycine it shipped to the United States.¹⁶

Also, the Allegor provided U.S. import data from 2023, indicating that Habita Food has shipped at least [quantity] of glycine to Highland.¹⁷ According to United Nations Comtrade Data provided by the Allegor, Chinese exports of merchandise to Malaysia classified under 2922.49 (glycine) represented 75.02% and 76.93% of total export quantities under that classification in 2021 and 2022, respectively.¹⁸ In 2022, the total quantity of exports to Malaysia of merchandise classified under 2922.49 was 3,481,766 kg, and the total quantity of exports from China for that classification was 2,611,075 kg.

The Allegor also provided trade data obtained from Think Real, a market & commodities-trade intelligence provider focusing on Chinese exports, which shows that various Chinese glycine manufacturers, including [name], exported [No.] kg, [No.] kg and [No.] kg of glycine from China to Malaysia during the years of [No.] and [No.].¹⁹ Of note, this data reflects a significant increase in glycine exports from China to Malaysia starting in [Bi.], shortly before Habita Food started exporting glycine to the United States. In addition, Panjiva trade data submitted by the Allegor shows that the port of lading for a [No.] kg glycine shipment from Habita Food to Highland, reported as [location], was [location], which further suggests that at least one of these glycine shipments [location] but was claimed as [location].²⁰

¹² *Id.* at 10 and 52.

¹³ *Id.* at 52.

¹⁴ *Id.*

¹⁵ *Id.* at 7 and Exhibit 5.

¹⁶ *Id.* at 7.

¹⁷ *Id.* at 5 and Exhibit 3.

¹⁸ *Id.* at 16 and Exhibit 6.

¹⁹ *Id.* at 8 and Exhibit 8.

²⁰ *Id.* at 8 and Exhibit 8.

The Allegor also provided a declaration from [name], the [position and name] glycine.²¹ [] attests in the declaration that when [] asked for a price quote and certificate of analysis, Habita Food provided a certificate of analysis from [], a Chinese glycine producer, suggesting that the glycine Habita Food was offering for sale originated in China.

In assessing the facts provided in the Allegation, CBP found that the information submitted by the Allegor reasonably suggested that Highland USA imported merchandise covered by the *Orders* into the customs territory of the United States through evasion by importing Chinese-origin glycine from Malaysian-based Habita Food and misrepresenting the Country of Origin as Malaysia. Specifically, and as discussed above, information reasonably available to the Allegor, including trade data, statistical reports, declaration from an industry partner, and commissioned investigative findings suggested Highland USA may have entered Chinese-origin glycine into the United States without paying appropriate duties.

Further, in the recently published Notice of Determination as to Evasion for EAPA Consolidated Case No. 7813, CBP concluded that substantial evidence demonstrated Highland USA entered covered merchandise into the customs territory of the United States through evasion. Specifically, CBP found Highland USA evaded antidumping duties on xanthan gum from China.²² The exporter of the transshipped merchandise in that case was also Habita Food Industries, and CBP found, based on its own research, that “Habita is likely a restaurant rather than a facility that produces xanthan gum.”²³ The fact that Highland USA has a history of evasion increases the likelihood that evasion is occurring in this matter as well.

Post Initiation

After initiating this EAPA investigation on May 23, 2024,²⁴ CBP issued a CBP Form 28 (CF-28) to Highland for an entry made during the period of investigation (POI).²⁵ Specifically, on June 25, 2024, a CF-28 was issued to Highland for entry number [] 2079.

CBP received a timely, but significantly deficient, CF-28 response from Highland’s broker, an 8-page entry packet consisting of the following:

²¹ *Id.* at 9 and Exhibit 7.

²² See EAPA Consolidated Case 7813: Ebuy Enterprises Limited and Highland USA International, Inc. dated April 24, 2024, at <https://www.cbp.gov/document/publications/eapa-consolidated-case-7813-ebuy-enterprises-limited-and-highland-usa>.

²³ *Id.* at 7.

²⁴ See Initiation Memo.

²⁵ See CF-28 issued to Highland, dated June 25, 2024.

- CBP Form 3461 identifying Highland as the importer of record and ultimate consignee for glycine, which was entered as [designation].²⁶
- CBP Form 7501 showing Habita Food as the manufacturer.²⁷
- Arrival Notice from [name] showing glycine was loaded in [name] and delivered in Houston, Texas.²⁸
- Bill of Lading from [name], which was issued in [location].²⁹
- Invoice from Habita Food in the amount of [No.].³⁰
- Packing list from Habita Food identifying [quantity] of glycine totaling [No.] kgs.³¹
- Certificate of Origin identifying Malaysia as the COO for [quantity] of glycine.³²

Notably, Highland failed to produce the following documents that CBP requested:

- A copy of the material safety data sheet, certificates of analysis, batch numbers for the U.S. imports and batch numbers from any/all other additional parties involved in the production process.
- A company profile, organizational flowchart, and a list of corporate management employees and contact information.
- A list of additional names and addresses used by the importer and the manufacturer both present and past along with an explanation of the relationship.
- Origin of the raw materials used in the production of the glycine and names and countries of the suppliers of the raw materials and provide shipping and payment information for all raw materials.
- Documentation and work flowcharts and full production records.

Because Highland failed to respond to CBP's CF-28 fully, the record has incomplete information regarding Highland's supply chain, business affiliations, and pertinent production processes. The CF-28 response that it did submit does not provide any evidence to contradict the information in the Allegation.

II. Interim Measures

Not later than 90 calendar days after initiating an investigation under EAPA, CBP will decide based on the record evidence if there is reasonable suspicion that such merchandise covered by the *Order* was entered into the United States through evasion. CBP need only have sufficient evidence to support a reasonable suspicion that the importer alleged to be evading entered

²⁶ See Highland CF-28 Response at 1.

²⁷ *Id.* at 2.

²⁸ *Id.* at 3.

²⁹ *Id.* at 4-5.

³⁰ *Id.* at 6.

³¹ *Id.* at 7.

³² *Id.* at 8.

merchandise covered by an AD and/or CVD order into the customs territory of the United States by a materially false statement or act, or material omission, that resulted in the reduction or avoidance of applicable AD and/or CVD cash deposits or other security. If reasonable suspicion exists, CBP will impose interim measures pursuant to 19 U.S.C. § 1517(e) and 19 CFR § 165.24.

After evaluating the information on the record, on August 28, 2024, CBP issued its Notice of Initiation and Interim Measures.³³ TRLED determined that there was reasonable suspicion that Highland evaded the *Orders* by claiming the glycine it imported into the United States was of Malaysia origin when it was actually of Chinese origin.³⁴ TRLED based its finding on the information provided in the Allegation,³⁵ the fact the CF-28 response did not include any production information that demonstrated that the glycine exported was actually produced in Malaysia during the period of investigation (POI),³⁶ and past CBP decisions involving Highland and Habita Food.³⁷

In accordance with 19 U.S.C. § 1517(e)(1)-(3), CBP suspended the liquidation of each unliquidated entry of covered merchandise that entered on or after May 23, 2024, the date of the initiation; extended the period for liquidating each unliquidated entry of covered merchandise that entered before the date of the initiation of the investigation; and took additional measures necessary to protect the revenue of the United States.

III. Post-Interim Measures

Requests for Information (RFIs)

On September 9, 2024,³⁸ CBP afforded Highland and Habita Food opportunities to clarify and provide supporting documentation to show the actual country of origin of the glycine imported into the United States by sending RFIs to Highland and Habita Food.³⁹ Although CBP had no indication that Highland did not receive the RFI via email, CBP gave Highland a second

³³ See CBP's notice letter titled, "Enforce and Protect Act Case Number 7899: Notice of Initiation of Investigation and Interim Measures" (7899 NOI), dated August 28, 2024.

³⁴ *Id.*

³⁵ See Allegation.

³⁶ See Highland CF-28 Response, which was composed solely of entry documents sent to CBP by Highland's broker for entry [[No.](#)]2079.

³⁷ *Id.* at 6-8.

³⁸ See CBP's RFI to Highland titled, "EAPA 7899 – Request for Information," dated September 9, 2024. See also See CBP's RFI to Habita Food titled, "EAPA 7899 – Request for Information," dated September 9, 2024.

³⁹ See CBP's email titled, "EAPA 7899: Request for Information to Highland USA International Inc.," dated September 9, 2024. See also FedEx receipt file name, "09-25-2024 - TRLED - RFI Delivery Tracking for Habita Food (7988) – PD." Note: In this investigation, the RFI for Habita Food was sent to the address in which Habita Food received the RFI questionnaire for EAPA 7813; however, unlike in EAPA 7813 when the RFI was marked as delivered, this time the RFI was returned as undeliverable. See also CBP Memo titled, "Re: Notice of Determination as to Evasion - EAPA Consolidated Case 7813," dated April 24, 2024 at <https://www.cbp.gov/document/publications/eapa-consolidated-case-number-7813-ebuy-enterprises-limited-and-highland-usa>.

opportunity to respond to the RFI by sending it via FedEx.⁴⁰ FedEx indicated the RFI was delivered to Highland on October 21, 2024.⁴¹ Despite receiving the RFI both via email and FedEx delivery, Highland failed to respond to the RFI. Regarding Habita Food, CBP was not able to find either a second valid physical address or email address for Habita Food, nor was CBP able to ask Highland for such information; therefore, CBP was unable to provide Habita Food a second opportunity to answer the RFI.

The RFIs issued to Highland and Habita Food asked for information regarding the companies' corporate structure, sales, production, accounting and financial practices and information about any other Malaysian suppliers to confirm the origin of the glycine imported to the United States. CBP clearly explained in the RFI questions that CBP was seeking the information to understand their products and production processes so that CBP could make a determination as to evasion.

Voluntary Factual Information and Written Arguments

CBP did not receive any voluntary factual information or written arguments from Highland. In addition, the Alleger did not submit any voluntary factual information. However, on January 8, 2025, CBP received written arguments from the Alleger advising CBP to apply adverse inference due to lack of cooperation from Highland and Habita Food.⁴² The Alleger maintains that the record of this investigation, supported by substantial evidence, demonstrates that Highland has evaded the *Orders* by entering into the United States Chinese-origin glycine that was transshipped through Malaysia to the United States without declaring the merchandise as subject to the *Orders* on glycine from China.

IV. Analysis as to Evasion

Under 19 U.S.C. § 1517(c)(1)(A), to reach a determination as to evasion, CBP must “make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion.” Evasion is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or

⁴⁰ See FedEx receipt file name, “10-21-2024 - TRLED - RFI Delivery Tracking for Highland (7988) – PD.”

⁴¹ *Id.*

⁴² See the Alleger's letter titled, “EAPA Case No. 7899: Written Arguments of Deer Park Glycine, LLC,” dated January 8, 2025.

countervailing duties being reduced or not being applied with respect to the covered merchandise.”⁴³

Adverse Inferences

Because Highland and Habita Food never responded to CBP’s RFIs, CBP’s ability to obtain information for its investigation was impeded significantly. Similarly, Highland failed to submit written arguments. Again, by failing to do so, Highland missed another opportunity to potentially refute the Allegation and put forth arguments to rebut the evidence on the record. EAPA’s regulations at 19 C.F.R. § 165.6(a) state that if “the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion....”⁴⁴

Because Highland failed to respond to CBP’s RFIs in the multiple instances described above, CBP finds that Highland has not cooperated and complied with CBP’s RFIs during the underlying investigation to the best of its abilities. As such, CBP is drawing inferences adverse to the interests of Highland from facts otherwise available on the record and relying on information submitted to CBP in the Allegation and past evidence of evasion in a prior EAPA investigation.

Drawing inferences adverse to the interests of Highland in selecting from the evidence on the record, CBP finds that Highland entered covered merchandise into the United States through evasion. In reaching its determination, TRLED relied on information on the record including, but not limited to:

1. Habita Food does not have any facility to produce glycine in Malaysia.⁴⁵
2. There is no other glycine manufacturer in Malaysia.⁴⁶
3. Malaysia predominantly imports glycine from China, thereby increasing the likelihood that the glycine shipments from Habita Food to Highland is Chinese in origin.⁴⁷
4. A declaration providing a direct connection between Habita Food and a glycine producer in China.⁴⁸
5. The bill of lading for entry 2079, which was issued in [[location](#)].⁴⁹

In addition, CBP has already opened EAPA investigations into Highland’s entries of various merchandise subject to AD/CVD duties. In April 2024, CBP concluded that substantial evidence demonstrated Highland entered covered merchandise—in that case, xanthan gum from China—

⁴³ See 19 C.F.R. § 165.1.

⁴⁴ See also 19 U.S.C. § 1517(c)(3)(A).

⁴⁵ See Allegation at 10 and 52.

⁴⁶ *Id.* at 7 and Exhibit 5.

⁴⁷ *Id.* at 5, 8-9, 16 and Exhibits 3, 6, and 8.

⁴⁸ *Id.* at 9 and Exhibit 7.

⁴⁹ See Highland CF-28 Response at 4-5.

into the customs territory of the United States through evasion.⁵⁰ In that previous xanthan gum investigation, CBP noted its investigation was impeded by Highland and Habita Food failing to respond to CBP's RFIs in multiple instances. Neither entity submitted written arguments as well. As in this case, the exporter of the transshipped merchandise was also Habita Food, and CBP found, based on the investigation, that "Habita is likely a restaurant rather than a facility that produces xanthan gum."⁵¹ Moreover, CBP is currently also investigating Highland for suspicion of evading antidumping duties on monosodium glutamate from China. In July 2024, CBP determined that imposition of interim measures was appropriate for Highland in that matter as well.⁵²

Because Highland failed to respond to CBP's questions, it failed to provide the documents that CBP requested regarding information about the raw materials included in the production of glycine, *i.e.*, invoices, purchase orders, payments, and factory information, time sheets, inventory records, packing materials, and shipping documents. Highland failed to provide any evidence that would contradict the Alleger's Allegation. The only evidence on the record that suggests the country of origin as other than China is some of the CF-28 response documents for entry 2079, which included a purported certificate of origin, a commercial invoice, and a packing list.⁵³ However, CBP finds these documents unreliable because they are not linked to any production documents, and there are no production documents to tie the U.S. imports under investigation to the certificate of origin provided. In other words, the lack of response from Highland prevents CBP from validating the authenticity of the certificate of origin, invoice and packing list; therefore, Highland did not provide sufficient evidence establishing that the glycine that Habita Food sold to Highland was actually produced in Malaysia.

In sum, CBP finds that there is substantial evidence that Chinese-origin glycine was imported by Highland into the United States during the POI by evasion by means of transshipment through Malaysia, and that said glycine is covered by the *Orders* on glycine from China. Consequently, the required cash deposits were not collected on the merchandise as of the onset of this investigation.⁵⁴

⁵⁰ See EAPA Consolidated Case 7813: Ebuy Enterprises Limited and Highland USA International, Inc. Notice of Determination as to Evasion, dated April 24, 2024, at <https://www.cbp.gov/document/publications/eapa-consolidated-case-7813-ebuy-enterprises-limited-and-highland-usa>.

⁵¹ *Id.* at 7.

⁵² See EAPA Cons. Case 7950: Various Importers Notice of Initiation of Investigation and Interim Measures, dated July 9, 2024, at <https://www.cbp.gov/document/publications/eapa-cons-case-7950-various-importers-notice-initiation-investigation-and>.

⁵³ See Highland CF-28 response.

⁵⁴ The rate applicable to these entries are the China-wide entity rate for the *Orders* on glycine from China, unless otherwise specified by the Department of Commerce.

V. Actions Taken Pursuant to the Affirmative Determination as to Evasion

In light of CBP's determination that substantial evidence demonstrates that Highland entered covered merchandise into the customs territory of the United States through evasion, and pursuant to 19 U.S.C. § 1517(d) and 19 C.F.R. § 165.28, CBP will suspend or continue to suspend the entries covered by this investigation, until instructed to liquidate. For those entries previously extended in accordance with Interim Measures, CBP will rate adjust and change those entries to type 03 and continue suspension until instructed to liquidate these entries. CBP may also evaluate Highland's continuous bonds in accordance with CBP's policies. None of the above actions precludes CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,

A handwritten signature in blue ink, appearing to read "Victoria Cho".

Victoria Cho
Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
Office of Trade
U.S. Customs and Border Protection